

was challenging as everything shut down, resulting in substantial losses,” Shashank says. “In the second year, we had to invest heavily due to the surge in demand for teleconsultation. We had to add infrastructure and increase marketing efforts, further impacting our finances.”

“Only from FY23 onwards could we refocus on improving our bottom line. We optimised a lot of stuff, automated processes, and focused again on our core business,” Shashank says. This strategic shift worked. “We had previously spread ourselves thin by investing in e-pharmacy and e-diagnostics. Although we continue these initiatives, our primary focus returned to our core strengths: doctor-side services, teleconsultation, and software,” he says. “We became one of the first digital health companies to achieve profitability while still growing,” Shashank claims.

Practo claims to have seen a 90% improvement in Ebitda over FY23 and a 22% growth in revenue in Q4FY24. The company says it has achieved a positive adjusted Ebitda in Q4FY24 and aims to maintain this momentum in the full year of FY25. Shashank says, “With the advent of AI, we believe the upcoming years will be promising for us.”

THE IPO THAT GOT DELAYED

Practo has been preparing for an IPO for several years but put off the plans after the pandemic disrupted life. It focussed on business growth. The IPO will power Practo’s expansion into small cities and towns and allow it to spend on AI. “The first step in the IPO journey is achieving profitability, and we have reached that milestone. Now, we are planning for this next phase. There are no specific



“In healthcare, it is not about being the fastest possible care, but about being the highest quality. At Practo, we use data and tech to help customers find the best care for their needs”

ABHINAV LAL
CO-FOUNDER, PRACTO



“The digital health space continues to see a shift... while geographical expansion and partnerships drive growth for players like Medibuddy and Practo, business models are still evolving”

ANKUR DHANDHARIA
PARTNER, HEALTHCARE STRATEGY,
EY INDIA

timelines,” Shashank claims.

Practo is investing in expanding its provider network and advancing its AI capabilities,” he says. This dual focus aims to improve the range and quality of the healthcare solutions that Practo offers.

Practo is expanding in West Asia, where it already has a presence, especially in the United Arab Emirates, centred on Dubai and Abu Dhabi. Saudi Arabia is also becoming

an important market. Expansion in West Asia is a strategic decision. “As one of the profitable entities in this sector, we can replicate this success in other markets,” Shashank says.

IN INDIA, IT’S ABOUT TIERS

Practo has reported growth in India’s Tier II and Tier III cities, which are doing better than the